

Question:
Carlos is planting a lemon tree. The tree will cost \$90 to plant. Each year it will grow 7 lemons, which he can sell for \$1.5 each. It costs \$3 a year to water and feed the tree. How many years will it take before he starts earning money on the lemon tree?

Reasoning + Answer:

We are given :

- Cost to plant the tree : \$ 90 (one-time cost)
- Each year , the tree produces 7 lemons
- Each lemon sells for \$ 1 . 50
- Annual cost to water and feed the tree : \$ 3

We need to find ****how many years it will take before Carlos starts earning money**** â€“ that is , when the ****revenue from lemons exceeds the total costs (initial planting + annual expenses)**** .

Letâ€™s define :

- Let \$ y \$ be the number of years after planting .
- Revenue in year \$ y \$: \$ 7 \times 1 . 5 = 10 . 5 \$ dollars per year
- Annual cost : \$ 3
- Net income per year after the initial cost : \$ 10 . 5 - 3 = 7 . 5 \$ dollars per year (after accounting for water and feed)

But the ****initial \$ 90 cost**** must be recovered before Carlos starts earning money .

So , we need to find the smallest integer \$ y \$ such that the ****total net income**** over \$ y \$ years is at least \$ 90 .

Total net income after \$ y \$ years :

$$\text{Total income} = (10.5 - 3) \times y = 7.5y$$

We want :

$$7.5y \geq 90$$

Solve for \$ y \$:

$$y \geq \frac{90}{7.5} = 12$$

So , after ****12 years**** , Carlos will have earned back the initial cost .

Therefore , ****after 12 years**** , he starts earning money (since the cost is fully recovered , and from year 13 onward , he starts making profit) .

â€™ But the question is : *How many years will it take before he starts earning money ?*

That means : ****when does the net profit become positive ?****

Wait â€“ actually , " starts earning money " means when the ****profit becomes positive**** , i.e. , when the ****total income exceeds the total cost**** .

So , we need to find the ****first year**** when the ****net profit is positive**** .

But the net profit is the cumulative profit after \$ y \$ years .

We want to find the smallest \$ y \$ such that :

$$\text{Total revenue} - \text{Total cost} > 0$$
$$(10.5 \times y) - (90 + 3y) > 0$$
$$10.5y - 90 - 3y > 0$$
$$(10.5 - 3)y - 90 > 0$$
$$7.5y - 90 > 0$$
$$7.5y > 90$$
$$y > 12$$

So , the total profit is positive ****after**** 12 years â€“ meaning that ****at the end of year 12**** , the profit is exactly zero (break-even) , and ****after that**** , in year 13 , it becomes positive .

Therefore , Carlos ****starts earning money**** in year ****13**** .

But does " start earning money " mean when the net profit becomes positive ?

Yes â€“ so after year 12 , the profit is zero (break-even) . In year 13 , he earns more than he spends , so he starts earning money .

â€™ Final answer : ****13 years****

Letâ€™s verify :

- After 12 years :
- Revenue : \$ 12 \times 7 \times 1 . 5 = 12 \times 10 . 5 = 126 \$
- Costs : \$ 90 + 12 \times 3 = 90 + 36 = 126 \$
- â”‚ Break-even

- After 13 years :